



2020 HY Results Investor Brief

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RESILIENT PERFORMANCE IN A CHALLENGING ENVIRONMENT



DISCLAIMER



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Agenda

1. BAT's Evolved Corporate Strategy
2. Operating Environment
3. Performance Highlights
4. H2 Focus Areas

OUR EVOLVED STRATEGY



Operating Environment



A challenging environment worsened by COVID-19

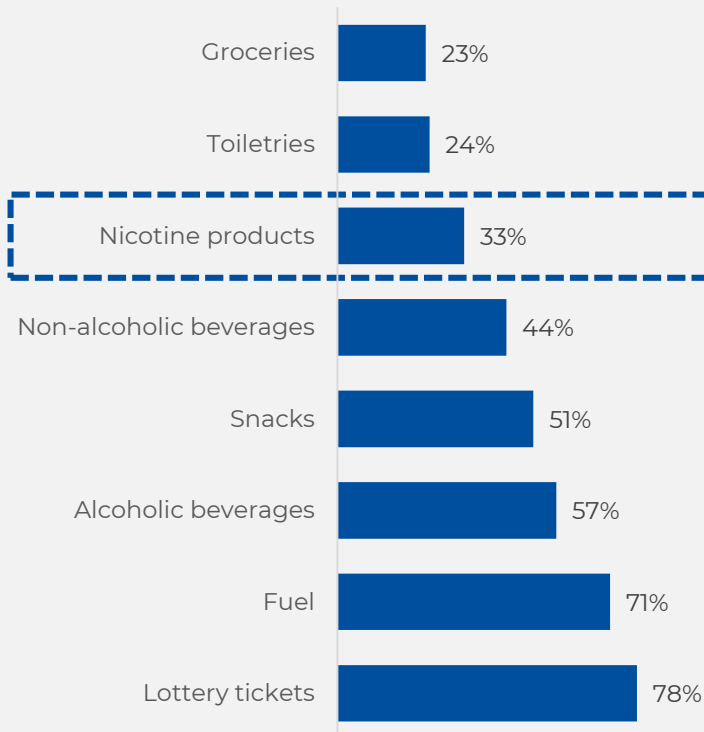


	Pre-COVID	Revised estimates		Concerns over job security
2020 GDP Growth	6.2%	 2.3%	 1.5%	 >30% of all jobs or incomes affected by COVID-19
2020 Inflation	5.7%	To remain within target range (2.5% - 7.5%)	6.0%	 1.7mn Jobs lost during COVID-19 (estimate)
Purchasing Managers Index	49.7%	April 34.8%	May 36.7%	

With huge impact on consumption habits

Reduced consumption, with some other categories being affected more

Bought less or didn't buy

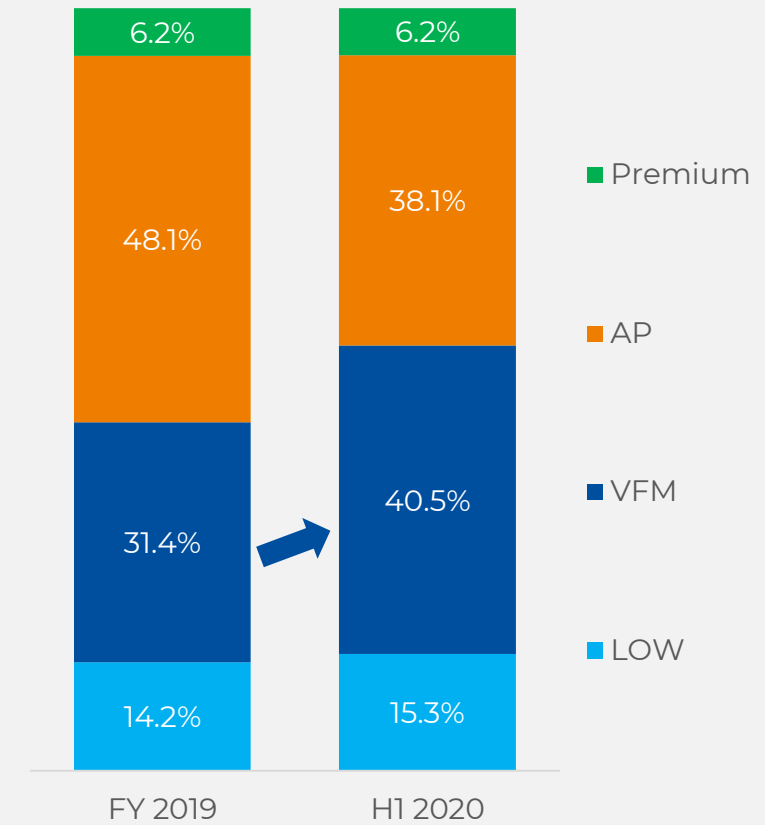


49%
of consumers have
reduced consumption of
cigarettes

-19%
Reduction in ADC

66%
have reduced finances
during COVID

...and consumers down trading



Our focus areas during COVID-19 pandemic

Keep our people safe, business continuity & recovery preparedness



- PPE, awareness, work from home
- Manufacture, local & export sales
- Readiness for post COVID-19

Supporting Government & communities

Contribution to National Fund, sanitiser distribution & water projects



- Over KSh 10 mn contribution
- Distribution of sanitiser to counties in partnership with Kenya Pipeline Company
- Provision of masks to farmers
- Clean running water to over 4,500 families in leaf areas

Key business challenges beyond COVID-19

01

Consumer stretch



02

Illicit trade



03

Regulatory overreach

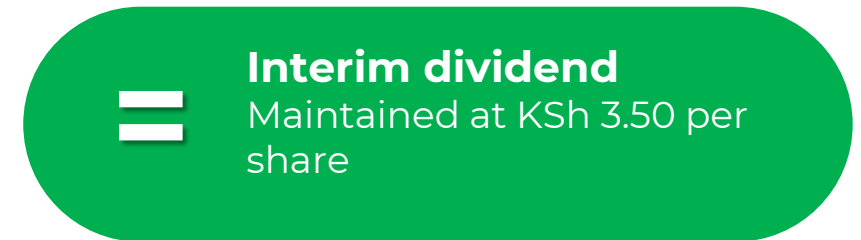
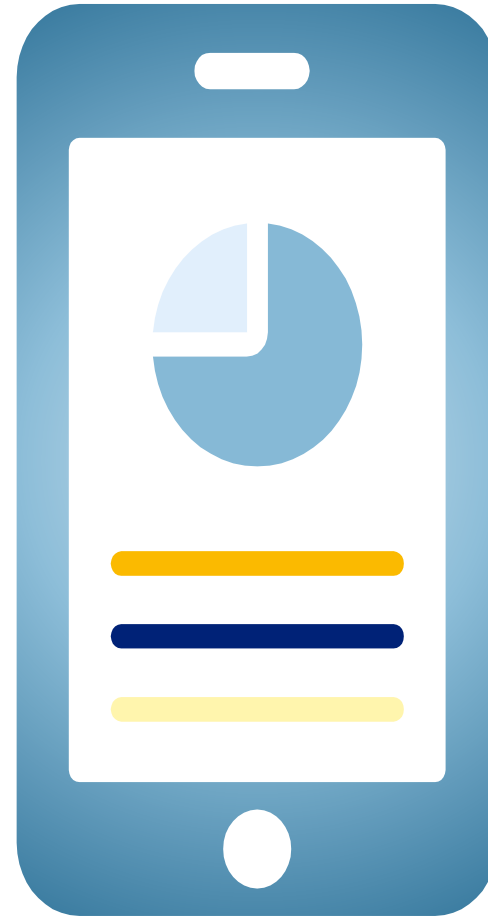
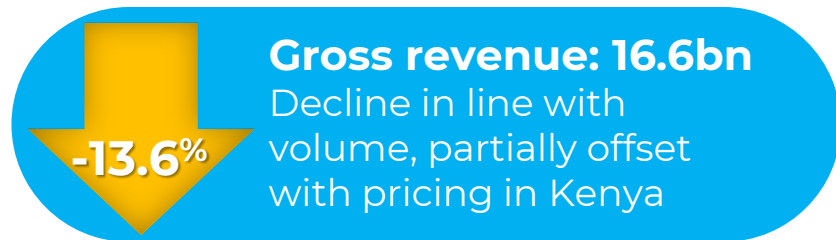
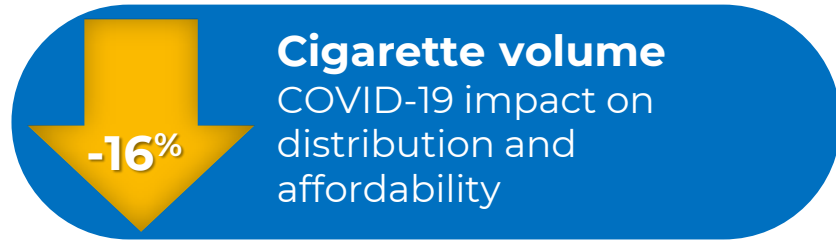


Performance Highlights



Resilient performance in a challenging environment

Maintained profitability in H1'20 vs H1'19 despite COVID-19 impact*



*amounts in KSh bn [H1'20 VS H1'19]

Portfolio transformation progress despite COVID-19

COVID compliant execution delivers outstanding results



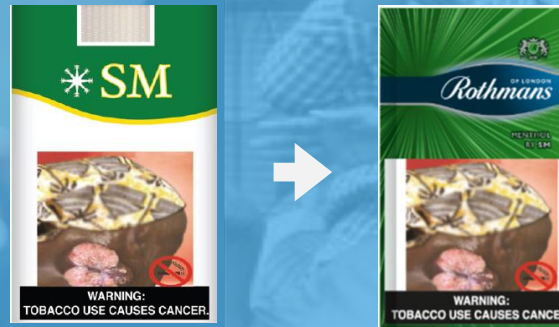
EMBASSY TO DUNHILL



Modernisation of premium icon

March

SM TO ROTHMANS



*Transformation for critical mass
& credibility*

May

SPORTSMAN TO ROTHMANS



*Migration of THE local hero for
sustainability*

August

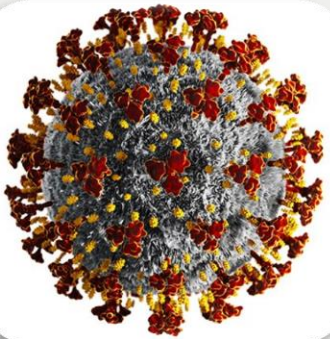
H2 Focus Areas



Our key focus areas in H2

1 Business continuity

- ✓ COVID-19 BCP
- ✓ Keep people safe



2 Win against illicit, recover volume & mix

- ✓ Drive recovery of FMC



3 Portfolio transformation

- ✓ The **Great** migration 'Sportsman to Rothmans'



4 Accelerate LYFT

- ✓ Factory launch
- ✓ Resolve regulatory challenges





Thank you.

